MODEL QUESTIONS

PART A

I. Multiple choice questions

1. Every able bodied person who is willing to work at the prevailing wage rate is employed called as …….
   (a) Full employment
   (b) Under employment
   (c) Unemployment
   (d) Employment opportunity

2. Structural unemployment is a feature in a ……..
   (a) Static society
   (b) Socialist society
   (c) Dynamic society
   (d) Mixed economy

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3. In disguised unemployment, the marginal productivity of labour is …..
   (a) Zero
   (b) One
   (c) Two
   (d) Positive

4. The main concention of the Classical Economic Theory is ……..
   (a) Under employment
   (b) Economy is always in the state of equilibrium
   (c) Demand creates its supply
   (d) Imperfect competition

5. J.B. Say is a ……
   (a) Neo Classical Economist
   (b) Classical Economist
   (c) Modern Economist
   (d) New Economist

6. According to Keynes, which type of unemployment prevails in capitalist economy ?
   (a) Full employment
   (b) Voluntary unemployment
   (c) Involuntary unemployment
   (d) Under employment

7. The core of the classical theory of employment is ……
   (a) Law of Diminishing Return
   (b) Law of Demand
   (c) Law of Markets
   (d) Law of Consumption

8. Keynes attributes unemployment to ……..
   (a) A lack of effective supply
   (b) A lock of effective demand
   (c) A lack of both
   (d) None of the above

9. ……. Flexibility brings equality between saving and investment.
   (a) Demand
   (b) Supply
   (c) Capital
   d) Interest

10. ……. theory is a turning point in the development of modern economic theory.
    (a) Keynes'
    (b) Say's
    (c) Classical
    (d) Employment

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